The introduction of the corridor system and the explicit identification of the weighted average call rate as the operating target of monetary policy allowed banks to manage their daily liquidity more efficiently and reduced volatility in the money markets.

A related reform was my decision to replace the benchmark prime lending rate (BPLR) of banks by a base rate which was to be a floor for the interest rate charged to its borrowers. Again technicalities aside, the intention behind this decision was to discipline the banks into making the interest charged on the borrowers more transparent and contestable. We realized though that even as this reformed the system significantly, there still remained some lacunae which the Reserve Bank is fixing, and is a work in progress.

One reform that was widely understood even at a layman level and much appreciated was my decision in October 2010 to deregulate the interest on savings deposits. Not many may recall, but prior to 1991, the Reserve Bank regimented the entire structure of interest rates in the economy, both on the lending and the deposit sides. This elaborate and extensive regimen was gradually dismantled as part of the reform process starting 1991, but one rate that remained pegged at 4 per cent was the interest rate on savings deposits.

Many of my predecessor governors considered letting go of this as well but stopped short of making the final call, mainly because of uncertainty about how the interest rate structure might unfold consequent on deregulation. On the one hand, there was the attractive possibility that deregulation would spur competition among banks, leading to product innovation, improved customer service and an increased interest rate benefitting millions of low-income households in the country for whom a savings deposit account is the only saving option. But there was also the apprehension that competition among banks to capture this large segment of low-cost deposits would raise the overall costs for banks and distort the entire interest structure with potential financial stability concerns. The discussion paper that we put out elicited wide commentary but no consensus. Eventually, after much deliberation, I decided to bite the bullet.